

REC Ltd (RECLTD)

Sector: Financials | Financial Intelligence tearsheet | Latest FY24 (2024-03)

1. Core Performance Ratios (Latest Year)

Metric	Value	Benchmark / Status
Return on Equity (ROE)	20.40%	ROE > 15% is healthy
Return on Capital (ROCE)	22.44%	Relative sector-adjusted benchmark
Net Profit Margin (NPM)	29.77%	Core net earnings efficiency
Debt to Equity (D/E)	6.42	Financial leverage ratio
Interest Coverage Ratio (ICR)	1.60	Debt service capacity cushion
Asset Turnover	0.09	Asset utilization intensity

2. Time-Series Income Statement (P&L; Trend)

Year	Revenue / Sales (Cr)	Net Profit (Cr)	EPS (■)
2024-03	■47,517.0	■14,145.0	■54.00
2023-03	■39,486.0	■11,167.0	■42.00
2022-03	■39,276.0	■10,036.0	■38.00
2021-03	■35,557.0	■8,378.0	■32.00
2020-03	■29,942.0	■4,972.0	■19.00
2019-03	■25,408.0	■5,741.0	■22.00

3. Balance Sheet & Asset Structure

Year	Fixed Assets (Cr)	Current Assets (Cr)	Borrowings (Cr)
2024-09	■622.0	■587,766.0	■483,617.0
2024-03	■632.0	■542,184.0	■445,568.0
2023-03	■641.0	■461,689.0	■380,790.0
2022-03	■628.0	■408,035.0	■333,043.0
2021-03	■267.0	■398,282.0	■329,723.0
2020-03	■166.0	■344,190.0	■286,289.0

4. Cash Flow & Capital Allocation Pattern

Year	CFO (Ops)	CFI (Invest)	CFF (Finance)
2024-03	■-57,723.0	■-1,831.0	■59,588.0
2023-03	■-37,360.0	■-943.0	■38,123.0
2022-03	■-819.0	■-287.0	■68.0
2021-03	■-43,512.0	■861.0	■42,113.0
2020-03	■-32,712.0	■121.0	■33,926.0
2019-03	■-35,866.0	■457.0	■35,543.0

5. Qualitative Analysis (Strengths & Risks)

■ Strengths (Pros)	■ Risk Factors (Cons)
• Excellent return on equity (ROE) of 20.4% indicates high capital efficiency.	• Latest free cash flow is negative (■-59,554.0 Cr), requiring external capital or cash drawdowns. • Lower earnings quality with a CFO/PAT ratio of only -4.08, indicating accrual drag. • Weak debt servicing cushion with an Interest Coverage Ratio of only 1.60x. • Asset-heavy or inefficient operations with a low asset turnover of 0.09.